

Shaphargroup's China → Europe SAF Bridge Report August edition

August 2025

Curated, buyer-focused insights from Shaphargroup — bridging Chinese supply with European demand.

This monthly downloadable report provides essential market intelligence for European SAF buyers, financiers, and Chinese suppliers navigating the evolving sustainable aviation fuel landscape.



Market Flow Snapshot — What Moved in August

Europe Inland UCO

Tightened modestly mid-month as traceable **EU/UK-origin** material commanded a **premium** (e.g., UCO **FOB ARA EU/UK** ~€1,115/t; Spain→Scandinavia mid-€1,100s/t; UK bulk bids ≈ +€25/t). Rising compliance scrutiny is rewarding provenance and documentation quality.

Bridge Takeaway

For **EU buyers**, the key isn't just chasing the lowest number — it's choosing supply that is timely, fully certified, and clearly traceable to origin. That combination reduces regulatory and reputational risk and ensures compliance.

China Collection

Strained as multiple traders paused offers due to low inventories; **palm oil strength** supported waste oil prices. Standard UCO **DAP China** frequently quoted **RMB 7,800–8,100/t** over the month.

Chinese Suppliers

Providing transparent documentation, demonstrating consistent collection capacity, and proving certification upfront are what unlock better market access and stronger prices in Europe.



Bridge Takeaway

EU Buyers

The key isn't just chasing the lowest number — it's choosing supply that is timely, fully certified, and clearly traceable to origin. That combination reduces regulatory and reputational risk and ensures compliance.

- Prioritize provenance and documentation quality
- Focus on traceable EU/UK-origin material
- Accept premium for compliance certainty

Chinese Suppliers

Providing transparent documentation, demonstrating consistent collection capacity, and proving certification upfront are what unlock better market access and stronger prices in Europe.

- Lead with transparent documentation
- Demonstrate consistent collection capacity
- Prove certification upfront

Price & Premium Signals — End-Month Levels and Trend

(flat prices are assessments from market sources you supplied; all \$/t unless noted)

Period	UCO T1 CIF ARA	UCO FOB China (std)
Early Aug	1,113	1,065
Mid Aug	1,119	1,105
End Aug	1,145	1,120

+\$32

ARA Premium Growth

UCO T1 CIF ARA gained \$32/t from Aug 1 to Aug 26

+\$55

China Price Rise

UCO FOB China standard increased \$55/t through August

SAF Price Rally

SAF markets showed strong momentum through August, with both ARA and China experiencing significant price increases.

Period	SAF FOB ARA	SAF FOB China
Early Aug	2,025	1,850
Mid Aug	2,253	1,900
End Aug	2,410	2,300

📌 **Arbitrage Update:** Chinese UCOME → EU remained **closed** on generic duties (≈ \$300/t closed late-Aug; \$116–124/t closed for cooperating duty bands).

Policy & Certification Watch

📄 **UK Anti-Dumping (Aug 22):** SAF excluded from new duties on Chinese biodiesel/HVO

UK Anti-Dumping Duties

15.68% duty for named exporters; **54.64%** for all others on CN biodiesel/HVO. **SAF explicitly excluded.** Narrows UK arbitrage for CN biodiesel/HVO; strengthens premium for EU/UK provenance.

Germany Draft Biofuel Law

Shifts sustainability liability to **buyers** when fraud is discovered → higher contractual risk, stronger KYC/traceability demands.

Ireland SAF Roadmap

Issued its **first SAF roadmap** supporting product, market certainty, collaboration, and uptake.

Standards & Metrology

FOBAS highlights energy-content mismeasurement in FAME blends; **ISO 8217:2024** recommends **ASTM D240** calorimetry for accurate NSE.

Bridge takeaway: Policy risk now sits **closer to the buyer** (DE draft law; UK duties). Contracts must price in sustainability liability and potential tariff exposure.

Deal Highlights



SAIL Amsterdam (20 Aug)

Event vessels to run on **GoodFuels HVO100** (FincoEnergies) — showcasing drop-in readiness and premium for high-blend provenance.



Viking Line × Gasum

Bio-LNG deployment on RoPax (FuelEU Maritime pooling) → growing alternative compliance pathways within Europe.

Implications — What to Do Now

Below are **plain-English actions** you can take right now. We split them by audience so each reader knows exactly what to do next.

For European Buyers

1. **Lock a slice of volume now.** SAF in ARA jumped in August; secure part of Q4/Q1 and keep some flexibility for later. Use **Book & Claim (SAFc)** to cover any shortfall.
2. **Prioritise paperwork over headline price.** Choose suppliers who can hand you **ISCC/CORSIA certificates, chain-of-custody and origin proof** on day one.
3. **Protect yourself in the contract.** Add **warranties on origin/sustainability, audit rights**, remedies if certificates fail.
4. **Keep logistics optionality.** Ask for quotes both **flexi vs ISO** and **CIF vs DAP**.

For Chinese Suppliers

1. **Lead with documentation.** Share **ISCC/CORSIA IDs**, recent **lab results/CoAs**, **mass-balance/collection records**.
2. **Quote clearly.** State **specs (FFA %, moisture/impurities)**, **container (flexi/ISO)**, **Incoterms**, **lead-time**.
3. **Prove reliability.** Explain how you secure collection, show **inventory buffers** and **shipment schedules**.
4. **Offer compliance comfort.** Accept **KYC checks**, allow **third-party audits**.

August Benchmarks

\$1,145	€1,065	\$1,120	\$2,410
UCO T1 CIF ARA	UCO Ex-Works NL	UCO FOB China	SAF FOB ARA
Aug 26 close; +\$32 vs Aug 1	T2 grade, late-month	Standard grade, late-month	Late-month assessment

Contact

ShapharGroup connects certified **China UCO & SAF** supply with **European** offtakers and financiers.

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Disclaimer

This report is compiled from curated market information for August 2025. It is for information only and **not investment advice**. Market levels are **indicative** and may differ from executed prices depending on specs, terms, and logistics. Figures are **indicative**; trade terms (FOB/CIF/DAP), container type (**flexi/ISO**), **FFA%**, and **EUR.1** status materially affect price comparability.